

POSITION STATEMENT · DRAFT V2 · SEPTEMBER 2026

ZKas Legal Position Statement

The affirmative case for the lawfulness of a shielded-by-default, fairly launched proof-of-work currency — and how ZKas's own architecture answers the questions regulators actually ask. September 2026.

PREPARED FOR	The ZKas maintainer
POSITION	ZKas is lawful to build, publish, mine, run, hold and transact in the surveyed jurisdictions; its privacy design is compliance-compatible by construction; the compact set of obligations that do exist sit at well-defined service edges and are being managed
SCOPE	United States, European Union, FATF-aligned jurisdictions; protocol, asset, wallets, dev fund, operated services
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Frame and limits. This is the project's own legal position, drafted by an AI research assistant with the maintainer — an advocacy document stating the interpretation ZKas advances and the authority supporting it, in the tradition of position papers published by privacy-protocol projects and digital-rights organizations. It is not an opinion of counsel and not legal advice; authorities are cited in good faith from public sources as of the date above and should be verified by licensed counsel before third-party reliance.

1 The position, in one page

CORE THESIS

Financial privacy is a lawful, legitimate, and historically ordinary property of money. ZKas restores it — and pairs it, by design, with exactly the disclosure capabilities that every serious regulatory framework asks for. Nothing about building, publishing, mining, holding, or transacting ZKas is prohibited in the surveyed jurisdictions.

Five pillars carry the position, each developed below:

1. **Privacy is the norm, not the anomaly.** Cash — the most widely used payment instrument in human history — is anonymous, bearer, and legal everywhere. Bank records are confidential by law. What is historically anomalous is the fully public ledger, which broadcasts every counterparty's balance and history to the world forever. ZKas returns money to its ordinary confidentiality baseline, using cryptography instead of institutional promises.
2. **The launch is the cleanest fact pattern in the field.** No sale, no premine (provably — an unspendable genesis anchored to Bitcoin block 959,713), no allocation, no promise to investors. Every unit was mined at open, real difficulty. There is, quite literally, no one to sue under an offering theory, because nothing was ever offered.
3. **The architecture is compliance-compatible by construction.** ZKas is not anonymity-maximalism. It is *confidentiality with owner-controlled disclosure* — the same model as banking. Orchard viewing keys let any holder prove their history to whomever they choose; the consensus-enforced turnstile makes total supply publicly provable at all times — a guarantee transparent chains cannot match, since a premine can hide in plain sight among ordinary addresses while ZKas's aggregate cannot lie at all.
4. **The law, correctly read, protects publishing this code.** FinCEN's own guidance places non-custodial wallet software and "anonymizing software providers" outside money-transmission regulation; the Fifth Circuit in *Van Loon* rejected the treatment of immutable code as a sanctionable service, and OFAC withdrew the Tornado Cash designations; the Department of Justice in April 2025 formally disclaimed "regulation by prosecution" of neutral infrastructure. The cases that ended badly — and the position does not pretend otherwise — were about *operating custodial services and marketing them for evasion*. ZKas does neither: its wallets are non-custodial in every end-user mode, and its public materials market confidentiality, never untraceability.
5. **Where obligations exist, ZKas meets them as a service operator, not as a protocol.** Exchange-like and custodial services attached to any asset — private or transparent — carry registration and AML duties. Those duties sit at the project's service edges (§6), are jurisdictionally ordinary, and are the subject of an active compliance workplan. They say nothing about the lawfulness of the chain.

2 The right being exercised: financial privacy

The position starts from ground that is firmer than commonly assumed:

- **European Union.** Privacy and data protection are fundamental rights (Charter, arts. 7–8). The GDPR's core commands — data minimization, purpose limitation, protection by design and by default (arts. 5, 25) — are commands a transparent ledger structurally cannot obey and a shielded ledger obeys automatically. On a public-broadcast chain, every payment discloses counterparty data to the entire world, forever, without a lawful basis; ZKas writes *no personal transaction data to its public ledger at all*. In data-protection terms, shielded-by-default is not the risky design. It is the compliant one.
- **United States.** There is no law against transacting privately. Cash transactions are lawful and unreported below statutory thresholds; the Supreme Court's financial-surveillance cases concern what *banks* must report, not what individuals may keep confidential between themselves. FinCEN has never prohibited holding or using an anonymity-enhanced cryptocurrency; its regime attaches to intermediaries.
- **FATF.** The FATF standards regulate *service providers*, and its guidance — while flagging AECs as higher-risk for VASPs — has never called on states to ban privacy assets. Risk-based mitigation, not prohibition, is the standard — a decade of it applied to Monero, Zcash, Dash and their peers has produced venue-level decisions, never asset-level bans in the surveyed set; §4 shows ZKas is unusually well equipped to supply the mitigation those decisions turn on.

THE FRAMING ZKAS ADVANCES

Every ZKas payment is confidential to the world and **fully disclosable by its owner** — with a viewing key, to an exchange, an auditor, a tax authority, a court. That is precisely how society has always regulated money: records exist, and their disclosure is governed by due process rather than by universal broadcast. ZKas does not resist that settlement; it re-implements it in mathematics.

3 The asset: nothing was offered, so offering law does not reach it

3.1 United States

Under *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946), the securities laws reach an *investment of money in a common enterprise with an expectation of profit from the efforts of others*. ZKas fails the test at the threshold, affirmatively and on every prong that matters:

- **No investment of money.** No person has ever paid the developers, or anyone, for ZKAS in a primary transaction. There was no sale, no ICO, no SAFT, no discounted allocation. The genesis output is provably unspendable (`OP_FALSE`) — the ledger opened at zero.
- **No promoter-dependent enterprise.** Supply is created exclusively by open proof-of-work under fixed consensus rules; anyone with hashrate participates on identical terms from block one (real difficulty, no insider window — verifiable from the Bitcoin-anchored, publicly announced genesis). The asset functions — transfers value, settles finally — without any continuing managerial act of the developers.
- **The developer share is earned per block, not held.** The 5% development allocation is minted by consensus alongside each miner reward, exactly like the miner's own coins. It is compensation fixed in public code, not a pre-existing stake sold or promoted to others; no purchaser's money ever passed to it. The CFTC's long-standing treatment of mined, decentralized PoW assets as commodities (*CFTC v. McDonnell*, 287 F. Supp. 3d 213 (E.D.N.Y. 2018)) is the natural home, and pending U.S. market-structure legislation points the same way.

3.2 European Union

MiCA (Regulation (EU) 2023/1114) attaches its white-paper and conduct obligations to identifiable *offerors*. Its recitals expressly exclude crypto-assets "automatically created as a reward for the maintenance of or validation of transactions" — a description ZKAS satisfies word for word. There is no offeror, no offer, and accordingly no MiCA issuer obligation for the asset. MiCA governs the *service providers* who may one day handle ZKAS, which is where it belongs.

4 Compliance-compatible by construction

The recurring regulatory objection to privacy assets is practical, not moral: "*our obliged entities cannot obtain the information the rules require.*" ZKas's answer is architectural:

WHAT A FRAMEWORK ASKS	WHAT ZKAS PROVIDES
Can a customer prove source of funds / history? (FATF R.10, travel-rule adjacent)	Yes — owner-controlled. Orchard full viewing keys reveal a wallet's complete incoming and outgoing history to a chosen counterparty, without surrendering spend authority. Per-payment disclosure follows the pattern established for Zcash and accepted by regulated venues that list ZEC.
Is total supply verifiable? (market-integrity, auditability)	Yes — for everyone, always. The consensus turnstile makes the shielded pool provably equal to cumulative issuance minus fees. A transparent chain proves each address but cannot prove a premine isn't sitting disguised among them; ZKas proves the aggregate unconditionally.
Who controls customer assets? (custody rules)	The customer. Every end-user wallet mode is non-custodial — seed on device, daemon holds a viewing key only and cannot spend. Documented in the public custody model.
Is the dev allocation auditable? (governance/consumer protection)	Its income, fully: 5% of a public schedule, computable by anyone. Its spending is private like any wallet — and can be made permanently watch-only public by a single voluntary viewing-key publication, a step under active consideration precisely because the architecture makes it costless.
Can service edges screen? (sanctions compliance)	Yes, where screening belongs. On a shielded chain, controls live at the interfaces where identity exists anyway — exchanges, desks, gateways — matching FATF's intermediary-based design rather than fighting it.

This is the substantive distinction ZKas asks to be judged on: it is not a system built to defeat oversight; it is a system that relocates disclosure from *universal broadcast* to *owner-consented, per-relationship proof* — the exact posture of the traditional financial system, minus the trusted intermediary.

4.1 Where ZKas sits among its peers

A decade of privacy-asset history is the strongest evidence for the position: across Monero, Zcash, Dash, Grin, Beam, Firo and Zano, **no surveyed jurisdiction has ever prosecuted anyone for developing, mining, or holding a privacy asset as such.** Every enforcement action in the field has targeted services — mixers, custodial operators, unlicensed exchanges. The assets' divergent fates were decided by one variable: whether the design gives institutions a disclosure mechanism.

ASSET	PRIVACY MODEL	DISCLOSURE MECHANISM	REGULATORY TRACK RECORD
Monero (2014)	Mandatory — ring signatures, RingCT, stealth addresses	Limited (incoming-only view keys; outgoing history not provable)	Legal to hold and develop everywhere surveyed; excluded from Japan/Korea venues, progressively delisted by major exchanges (2021–2024). The hard case — privacy without a disclosure story.
Zcash (2016)	Optional — transparent by default, shielded Orchard/Sapling pools	Full & incoming viewing keys; per-payment disclosure	The compliance precedent: NYDFS-greenlisted, listed on major regulated venues for nearly a decade; Gemini supports shielded withdrawals against per-account disclosure. Viewing keys are the accepted answer.
Dash (2014)	Optional CoinJoin mixing on a transparent chain	Transparent base layer	Argues, with some success, that it is not an AEC at all; still swept into several AEC delistings.
Grin / Beam (2019)	Mimblewimble — no addresses, aggregate cut-through	Beam shipped opt-in auditable wallets	No action against developers; limited venue access; projects faded commercially, not legally.
Firo (2016)	Optional Lelantus/Spark shielded pool	Spark incoming/full view keys	Actively markets view-key compliance; mid-tier venue access.
Zano (2019)	Default privacy (hybrid PoW/PoS, ring signatures + Zarcantum)	Opt-in auditable wallets	No developer-side action; access largely via non-regulated venues.
ZKas (2026)	Mandatory — Orchard shielded pool, no transparent mode, ~1 s settlement	Full viewing keys on every wallet; provable aggregate supply (turnstile)	Combines Monero’s always-on confidentiality with Zcash’s disclosure architecture — the pairing the delisting decade showed to be the viable one.

Two comparative points sharpen the position. *First*, ZKas deliberately pairs the property that made Monero durable (privacy that cannot be switched off, so the anonymity set is everyone) with the property that kept Zcash listed (owner-

controlled disclosure) — it is designed on the lesson of both track records, not in ignorance of them. *Second*, on distribution ZKas is more conservative than the flagship precedent: Zcash launched with a 20% Founders' Reward flowing to pre-designated investors and insiders for four years, and remained listed on the most conservative regulated venues in the world throughout; ZKas's development allocation is a quarter of that share, attached to no sale and no investor, on a chain whose launch fairness is cryptographically checkable. Whatever scrutiny the Zcash allocation survived, this one meets on stronger facts.

5 Publishing this code is protected activity — and the case law now says so

- **FinCEN, by its own guidance** (FIN-2019-G001 §§4.2, 4.5.1): providers of non-custodial ("unhosted") wallet software, and "anonymizing software providers," are not money transmitters. ZKas's node, wallet and signer software fall squarely within these categories: the project publishes code; users transact with their own keys.
- ***Van Loon v. Department of the Treasury*, 118 F.4th 331 (5th Cir. 2024):** immutable smart-contract code is not the "property" of any person and cannot be blocked as such — vindicated in March 2025 when OFAC removed the Tornado Cash designations. The decision draws the very line ZKas is built on: *code is speech and tooling; services are conduct*.
- **The Department of Justice's 8 April 2025 memorandum** directed prosecutors away from charging neutral crypto infrastructure for end-users' conduct — an explicit repudiation of "regulation by prosecution" of developers.
- **The adverse cases prove the same rule from the other side.** Samurai (\$1960 pleas, 2025) and the Tornado Cash operator prosecutions turned on running services, controlling flows, and — fatally — marketing to illicit use. ZKas's discipline is the mirror image: non-custodial by default, no evasion marketing ever, privacy framed publicly as confidentiality with lawful disclosure. That discipline is not cosmetic; on the current case law it is the perimeter of safety, and the project treats it as a standing rule.

6 The compliance perimeter: obligations ZKas accepts, and how each is met

An honest position paper says where the duties are. They attach not to the chain but to specific operated services — the same duties they would carry for a

transparent asset — and each has a defined path:

EDGE	DUTY IN PLAY	PATH
OTC / conversion desk	Exchange/transmission registration, AML program, screening — in most jurisdictions, today	Priority engagement with licensed counsel: register, restructure into a licensed venue, geo-fence, or wind down. Until resolved, keep it small, screened, and documented. This is the project's #1 legal work item and is treated as such.
Mining pool payouts	Custody-adjacent handling of miner rewards	Prefer the already-built direct/solo payout path; minimize custodial balances; document flows.
Merchant gateway	Processor analysis (who controls funds, when)	Watch-only architecture already limits control; settlement design review with counsel.
Hosted wallet / explorer / nodes	No transmission (non-custodial / no value handled); GDPR care for viewing keys and logs	Privacy notice, minimal retention, treat viewing keys as highly sensitive personal data. Largely done by design.
Dev fund	Tax on rewards as received; governance transparency	Contemporaneous valuation records now; published fund policy; voluntary viewing-key publication under consideration.

Structural step in progress: separating protocol stewardship (code, standards, releases) from value-touching services, so each service carries its own compliance posture and none colors the protocol. This is the standard maturation path of every serious chain, and ZKas is early enough to do it cleanly.

7 The EU's 2027 rule, read carefully, is a product requirement — not a verdict

Regulation (EU) 2024/1624 art. 79 (applying July 2027) forbids *obliged entities* — banks and CASPs — from anonymous accounts and from anonymity-enhancing coins. Three readings matter:

- It regulates **institutions, not people or protocols**. Holding, mining, self-custody, P2P transfer, and publishing software remain untouched. ZKas's

core use is unaffected.

- Its object is **information the institution cannot obtain**. The implementing standards are the venue where disclosure mechanisms will be defined — and an asset whose every account can hand a CASP a complete, cryptographically-verified history via viewing key has a serious case that servicing it is not servicing anonymity *as to that customer*. ZKas's compliance-disclosure toolkit (§4) is being built to make that case concrete while the technical standards are still being written.
- Even on the most restrictive reading, the consequence is **venue access, not legality** — the same position cash occupies with respect to institutions that must identify their customers.

8 Candor as strategy

The position rests on being the project whose claims check out. As of September 2026, and verifiably in the public record: the front-loaded emission schedule is stated plainly on the website; the two-step perpetual tail is described exactly as the consensus code implements it; the absence (so far) of an external audit is disclosed on both the repository and the site, with an independent audit of the novel Orchard-under-GHOSTDAG core on the roadmap; the custody model is documented accurately; the pre-launch TESTNET banner is dated in the README so stale snapshots identify themselves. The standing rules: no investment language, every claim links to its verification, security claims stay in the past tense. A privacy project earns the right to be believed about big things by being exact about small ones.

9 Commitments that complete the position

1. **Counsel for the conversion desk** — the one present-tense obligation; engagement before scale.
2. **The disclosure toolkit** — per-wallet viewing-key export and per-payment proofs, shipped as first-class product; ZKas's passport into regulated venues and its answer to the EU technical standards.
3. **Entity separation** — protocol stewardship apart from services.
4. **Dev-fund policy** — published governance; the voluntary viewing-key decision taken deliberately; tax records kept from now.
5. **External audit** — commissioned and published, whatever it finds.
6. **Screening at every service edge** — sanctions lists and geo-fencing where counterparties exist.

CLOSING STATEMENT

ZKas asks for no exemption from the law. It asks that the law be applied as written: to services, not speech; to conduct, not cryptography. On the facts — a provably fair launch, non-custodial software, owner-controlled disclosure, and a public record kept scrupulously honest — ZKas stands where privacy-preserving money is entitled to stand: legal to build, legal to run, legal to use.

Prepared September 2026 with the ZKas maintainer as the project's own position statement; drafted by an AI research assistant, without attorney involvement — an advocacy document, not an opinion of counsel or legal advice. Authorities relied upon include *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946); *CFTC v. McDonnell*, 287 F. Supp. 3d 213 (E.D.N.Y. 2018); FinCEN, FIN-2019-G001 (May 9, 2019); Regulation (EU) 2023/1114 (MiCA); Regulation (EU) 2024/1624, art. 79; Charter of Fundamental Rights of the EU, arts. 7–8; GDPR arts. 5, 25; *Van Loon v. Dep't of the Treasury*, 118 F.4th 331 (5th Cir. 2024) and OFAC's March 2025 delisting; the DOJ memorandum of 8 April 2025; and the public record of the 2024–2025 Samurai and Tornado Cash operator matters — each summarized in good faith as of the drafting date and requiring verification by qualified counsel before third-party reliance.